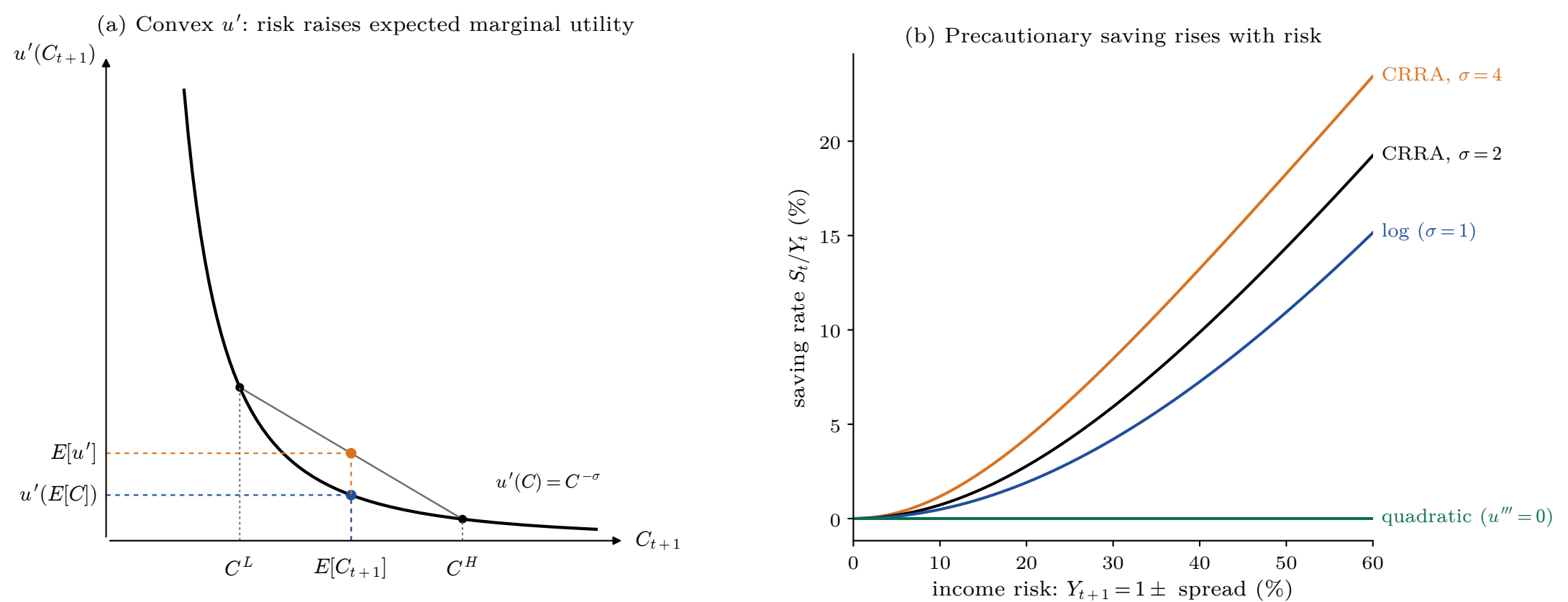

Fig. 7: With prudent preferences ($u''' > 0$), uncertainty about future income raises saving today. With quadratic utility, only expected income matters and there is no precautionary saving ($\beta(1+r) = 1$, $Y_t = E[Y_{t+1}] = 1$).